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Transportation, Housing and Urban Development, and Related Agencies (THUD) Appropriations for FY2027

September 3, 2026

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R49341

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SUMMARY

R49341

September 3, 2026

Maggie McCarty
Specialist in Housing Policy

Jennifer J. Marshall
Analyst in Transportation Policy

Transportation, Housing and Urban Development, and Related Agencies (THUD) Appropriations for FY2027

The House and the Senate Transportation, Housing and Urban Development, and Related Agencies (THUD) Appropriations Subcommittees are charged with providing annual appropriations for the U.S. Department of Transportation (DOT), the U.S. Department of Housing and Urban Development (HUD), and certain related agencies.

Of the 12 regular appropriations bills, THUD is typically the fourth largest in terms of discretionary funding. In terms of the distribution of funding within the bill, including both mandatory and discretionary funding, DOT's budget is generally larger than that of HUD's, and the related agencies make up a small share (<1%) of total funding. Conversely, when looking only at net discretionary budget authority—the funding that counts for congressional scorekeeping purposes, which accounts for savings from offsets and rescissions but excludes mandatory funding—HUD's share of total funding is typically larger than DOT's share.

President's Budget

The annual appropriations process generally begins with the release of the President's budget in February. The Trump Administration's FY2027 budget was released on April 3, 2026. For the agencies that comprise the THUD budget, the President's FY2027 budget requested the following:

- For DOT, $25.1 billion in net new discretionary funding (-0.2% relative to FY2026 enacted). When paired with $85 billion in mandatory funding, total DOT funding would be $110 billion in FY2027 (+1.5% relative to FY2026 enacted).
- For HUD, $64.9 billion in net new discretionary funding (-16.0% relative to FY2026 enacted).
  - The President's budget proposed eliminating funding for a number of HUD grant programs, including the Community Development Block Grant and HOME Investment Partnerships grant programs.
- For the related agencies funded in the THUD bill, $322 million (-24.3% relative to FY2026 enacted).

House Committee Action

On June 3, the House Appropriations Committee marked up and ordered reported its FY2027 THUD appropriations bill (H.R. 9170; H.Rept. 119-606), following subcommittee markup on May 21. It would provide the following:

- For DOT, $20.4 billion in new discretionary funding (-18.7% relative to FY2026 enacted). When paired with $83.3 billion in mandatory funding, total DOT funding would be $103.7 billion in FY2027 (-4.3% relative to FY2026 enacted).
  - The committee bill would supplement the amount appropriated with transfers totaling $7.9 billion from mandatory funding provided by the Infrastructure Investment and Jobs Act (IIJA; P.L. 117-58) to DOT-THUD accounts for FY2027.
- For HUD, $71.4 billion in net new discretionary funding (-7.7% relative to FY2026 enacted).
- For the related agencies typically funded in the THUD bill, $425 million (the same as FY2026 enacted).

Continuing Resolution

Full-year FY2027 THUD appropriations have not been enacted. In the interim, FY2027 funding has been provided on a temporary basis through a continuing resolution (CR). The FY2027 CR (H.R. 6500; P.L. 119-103) was signed into law on September 2, 2026, following earlier passage by the Senate (90-6) on August 8, 2026, and by the House (370-48) on September 1, 2026. The CR provides continuing appropriations for all 12 annual appropriations acts (including THUD) through December 11, 2026. In general, the CR funds THUD programs at the same rate and under the same conditions as in FY2026, with some exceptions.

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This report describes action on FY2027 annual appropriations for THUD, including detailed tables for each major agency and a brief overview of selected issues. (Rounded funding figures are presented in the report, but unrounded figures are used to calculate percentages throughout.)

About the THUD Bill

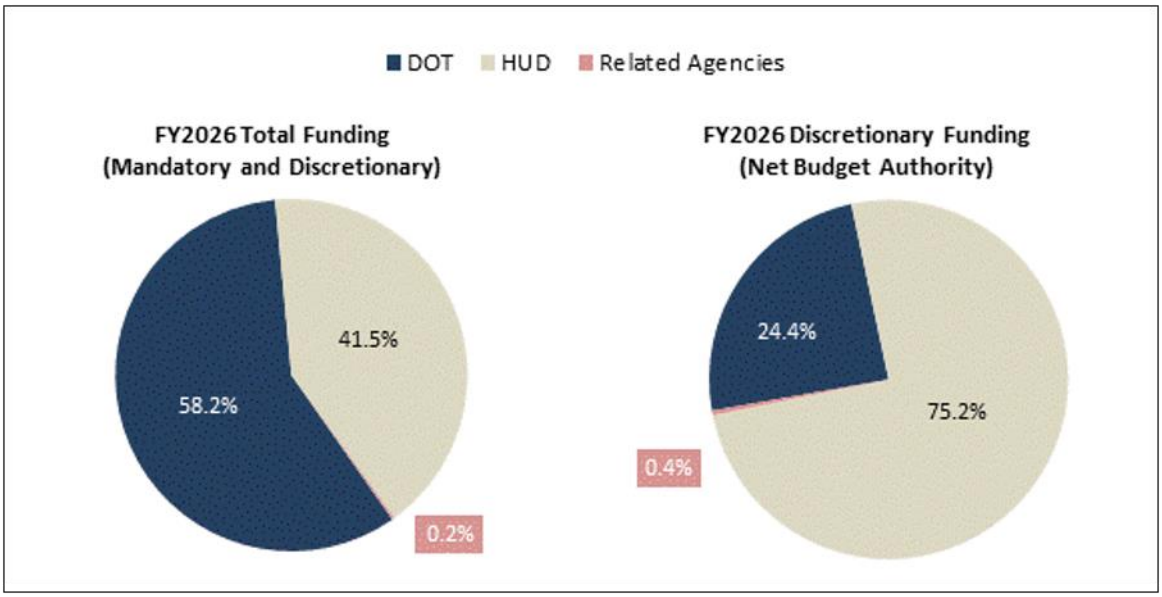
The THUD bill funds two federal departments—DOT and HUD—and several smaller related agencies. Of the 12 regular appropriations bills, THUD is typically the fourth largest in terms of discretionary funding and it typically contains the largest number of Community Project Funding/Congressionally Directed Spending projects (*earmarks*).[1]

As shown in **Figure 1**, the distribution of funding within the THUD bill differs depending on the inclusion or exclusion of mandatory funding associated with the bill. Including both mandatory and discretionary funding, DOT's budget is larger than that of HUD's and the related agencies make up a small share of total funding. Conversely, when looking only at net discretionary budget authority—the funding that counts for congressional scorekeeping purposes, which accounts for savings from offsets and rescissions but excludes mandatory funding—HUD's share is larger than DOT's share.

[1] The House and Senate use various terms when referring to these spending directives. The House Committee on Appropriations refers to this type of funding as Community Project Funding, and the Senate Committee on Appropriations refers to it as Congressionally Directed Spending. Both chambers have rules that these spending directives be disclosed in committee reports accompanying appropriations bills. Collectively, this type of spending is commonly referred to as *earmarks*. This report uses the terms Community Project Funding (CPF) when referring to disclosed House spending and Congressionally Directed Spending (CDS) when referring to disclosed Senate spending. These disclosed spending projects collectively are referred to as CPF/CDS or earmarks throughout the report. See CRS Report RS22866, *Earmark Disclosure Rules in the House: Member and Committee Requirements*, and CRS Report RS22867, *Earmark Disclosure Rules in the Senate: Member and Committee Requirements*.

Figure 1. Distribution of THUD Funding by Title

FY2026 Enacted



Source: Comparative Statement of New Budget (Obligational) Authority table, as published in H.Rept. 119-686.

Notes: Discretionary funding reflects net discretionary funding. Excludes emergency funding, except emergency funding provided for regular program operations.

Overview of the FY2027 Appropriations Process

The annual appropriations process generally begins with the release of the President's budget in February. The Trump Administration's FY2027 budget release was delayed until April 3, 2026.

To begin congressional deliberation of individual appropriations acts, generally an agreement is reached via a budget resolution or other vehicle to establish both a top-line funding level for annual appropriations (called a 302(a) level) as well as individual appropriations subcommittee allocations (called 302(b) allocations). As of the cover date of this report, no formal top-line agreement for FY2027 has been reached in either the House or the Senate. On April 21, 2026, the House Appropriations Committee ordered to be reported interim suballocations for 6 of its 12 subcommittees;[2] THUD was not included in that interim suballocation. As of the cover date of this report, no formal or informal allocations for FY2027 have been established for the Senate Committee on Appropriations or its subcommittees.

The following sections provide a brief overview of action on FY2027 THUD appropriations; including **Table 1**, which provides comparable funding levels at the THUD bill title level. That is followed by more detailed discussion, organized by bill title.

[2] House Appropriations Committee, "Committee Approves Numerous FY27 Subcommittee Allocations," press release, April 22, 2026, https://appropriations.house.gov/news/press-releases/committee-approves-numerous-fy27-subcommittee-allocations.

President's Budget

For the agencies that comprise the THUD budget, the President's FY2027 budget requested the following:

- For DOT, $25.1 billion in net new discretionary funding (-0.2% relative to FY2026 enacted). When paired with $85 billion in mandatory funding, total DOT funding would be $110 billion in FY2027 (+1.5% relative to FY2026 enacted).[3]
- For HUD, $64.9 billion in net new discretionary funding (-16.0% relative to FY2026 enacted).[4]
- For the related agencies typically funded in the THUD bill, $322 million (-24.3% relative to FY2026 enacted).[5]

House Committee Action

On June 3, 2026, the House Appropriations Committee marked up and ordered reported its FY2027 THUD appropriations bill (H.R. 9170; H.Rept. 119-686), following subcommittee markup on May 21, 2026. It would provide the following:

- For DOT, $20.4 billion in new discretionary funding (-18.7% relative to FY2026 enacted). When paired with $83.3 billion in mandatory funding, total DOT funding would be $103.7 billion in FY2027 (-4.3% relative to FY2026 enacted).
- For HUD, $71.4 billion in net new discretionary funding (-7.7% relative to FY2026 enacted).
- For the related agencies typically funded in the THUD bill, $425 million (the same as FY2026 enacted).

Continuing Resolution

Full-year FY2027 THUD appropriations have not been enacted. In the interim, FY2027 funding has been provided on a temporary basis through a continuing resolution (CR). The FY2027 CR (H.R. 6500; P.L. 119-103) was signed into law on September 2, 2026, following earlier passage by the Senate (90-6) on August 8, 2026, and by the House (370-48) on September 1, 2026. The CR provides continuing appropriations for all 12 annual appropriations acts (including THUD) through December 11, 2026. In general, the CR funds THUD programs at the same rate and under the same conditions as in FY2026, with some exceptions. (For more information, see CRS Report R49353, *Overview of Continuing Appropriations for FY2027 (Division A of P.L. 119-103)*.)

[3] For more information about the President's budget request for DOT, see CRS Report R48947, *Department of Transportation FY2027 Funding Request*.

[4] For more information about the President's budget request for HUD, see CRS Report R48927, *Department of Housing and Urban Development (HUD) FY2027 Budget Request: In Brief*.

[5] Related agencies include the U.S. Access Board, Federal Maritime Commission, Amtrak Inspector General, National Transportation Safety Board (NTSB), Neighborhood Reinvestment Corporation (NeighborWorks America), Surface Transportation Board, and Interagency Council on Homelessness. These agencies are discussed in the "Title III: Related Agencies" section of this report.

Table 1. THUD Appropriations by Bill Title, FY2026-FY2027

(dollars in millions)

	FY2026 Enacted	FY2027 Request	FY2027 House Comm.	FY2027 Senate	FY2027 Enacted
Title I: DOT	108,426	110,031	103,709	—	—
Discretionary	*25,136*	*25,081*	*20,425*	—	—
Mandatory	*83,290*	*84,950*	*83,285*	—	—
Title II: HUD	77,320	64,910	71,374	—	—
Title III: Related Agencies	425	323	425	—	—
Total	**186,171**	**175,263**	**175,509**	—	—
Total Discretionary	**102,881**	**90,313**	**92,224**	—	—
Total Mandatory	**83,290**	**84,950**	**83,285**	—	—

Source: "FY2026 Enacted" and "FY2027 House Comm." figures are taken from the Comparative Statement of New Budget Authority table, as published in H.Rept. 119-686 and text of H.R. 9170. President's budget figures are taken from FY2027 President's budget documents and estimates shared with CRS by the House Appropriations Committee.

Notes: Totals may not add due to rounding. An "—" indicates not applicable or not available.

Title I: Department of Transportation

DOT is responsible for the federal regulation and funding of most modes of U.S. transportation. Among its various responsibilities, DOT operates the nation's air traffic control system; regulates aviation, commercial trucking, and motor vehicle safety; and provides grants to support aviation, highway, transit, and passenger rail infrastructure as well as highway, maritime, and pipeline safety.

DOT is organized into 11 units. Five operating administrations each oversee a non-vehicular mode of transportation: Federal Aviation Administration (FAA); Federal Transit Administration (FTA); Federal Railroad Administration (FRA); Maritime Administration (MARAD); and Pipeline and Hazardous Materials Safety Administration (PHMSA). Three operating administrations oversee certain aspects of roadways and motor vehicles: Federal Highway Administration (FHWA); Federal Motor Carrier Safety Administration (FMCSA); and National Highway Traffic Safety Administration (NHTSA). Two offices have department-wide responsibilities: Office of the Secretary (OST) and Office of Inspector General (OIG). The Great Lakes St. Lawrence Seaway Development Corporation (GLS) is the wholly owned government corporation that operates and maintains two locks on the St. Lawrence Seaway and other aspects of navigation infrastructure.[6]

The source of most of DOT's annual funding is provided by two periodic authorization acts, one for surface transportation programs and one for aviation programs. The Infrastructure Investment and Jobs Act (IIJA; P.L. 117-58) authorized programs and funding for surface transportation programs for FY2022-FY2026. The FAA Reauthorization Act of 2024 (P.L. 118-63) authorized Aviation and Airways Trust Fund (AATF) taxes and revenue collections and civil aviation

[6] For background on Department of Transportation (DOT) modal agencies see CRS Report R48651, *U.S. Department of Transportation: Background on Modal Administrations*.

program expenditures through FY2028. Most of the funding for the programs in those acts is drawn from the Highway Trust Fund (HTF) and the AATF, respectively. HTF revenues come largely from fuel taxes and increasingly from transfers from the general fund of the Treasury.[7] AATF revenues come largely from taxes on passenger airline tickets and aviation fuel and some general fund money.[8]

Most of the funding drawn from the HTF, and a portion of the funding drawn from the AATF, is in the form of contract authority, a type of budget authority that is considered mandatory (rather than discretionary). In addition to providing regular annual discretionary appropriations, the THUD bill includes obligation limitations on this mandatory budget authority. That mandatory budget authority does not count against the THUD bill's 302(b) discretionary suballocation.

Components of DOT Funding

DOT's budget is made up of a combination of *mandatory funding* largely provided outside the annual appropriations acts via authorizing statutes, and *discretionary budget authority* largely provided in the annual THUD appropriations acts.

DOT uses two main trust funds: the Highway Trust Fund (HTF) and the Airport and Airways Trust Fund (AATF). The majority of programs that are administered by the Federal Highway Administration, Federal Transit Administration, Federal Motor Carrier Safety Administration, and National Highway Traffic Safety Administration are funded via the HTF. Some programs administered by the Federal Aviation Administration are funded by the AATF. Some of the funding from the AATF is disbursed as contract authority (mandatory), but the majority of it relies on an appropriation (discretionary).

Contract authority is a special type of budget authority linked to trust funds that is authorized for obligation via an authorization act (such as surface transportation acts). Contract authority does not require further congressional action for DOT to incur obligations. This type of budget authority is considered to be mandatory spending. Congress typically sets a limitation on obligations of this mandatory budget authority during the annual appropriations process.

In addition to contract authority, DOT received multi-year, supplemental, emergency-designated advance appropriations under Division J of the IIJA for each of FY2022-FY2026.

The *cost* of the new discretionary budget authority provided via annual appropriations acts—as determined by the Congressional Budget Office's (CBO's) scorekeeping process—may be offset, to some degree, by *savings* derived from collections from *user fees* and *rescissions* of prior-year appropriations. Deducting the savings from fees and rescissions from the *gross discretionary budget authority* provided to DOT results in *net discretionary budget authority*. Generally, gross discretionary budget authority, along with mandatory funding available in a fiscal year, is the most useful measure of the new resources being provided for DOT's programs and activities, whereas net discretionary budget authority is used for budget enforcement purposes and measuring against 302(b) allocations.

Any funding designated as an *emergency* requirement provided in the regular annual appropriations acts or in supplemental spending bills is generally excluded from appropriations totals for purposes of budget enforcement.

Table 2 provides the detailed appropriations for DOT by administration and account (column 1) showing the FY2026 enacted funding levels (column 2), the FY2027 President's budget request (column 3), the FY2027 funding proposals from the House Appropriations Committee (column 4).[9] Total appropriations and net discretionary budget authority rows of the table reflect new discretionary budget authority.

[7] For more on the Highway Trust Fund, see CRS Report R48472, *The Highway Trust Fund's Highway Account*.

[8] For more on the Airport and Airway Trust Fund, see CRS Report R44749, *The Airport and Airway Trust Fund (AATF): An Overview*.

[9] At the time of reporting, the Senate Appropriations Committee has not proposed a FY2027 THUD appropriations bill. (continued...)

Table 2. Department of Transportation, FY2026-2027 Detailed Appropriations

(dollars in millions)

Administrations and Accounts	FY2026 Enacted	FY2027 Request	FY2027 House Comm.	FY2027 Senate	FY2027 Enacted
Appropriations					
Office of the Secretary (OST)	**1,054**	**976**	**964**	—	—
Salaries and Expenses	187	224	218	—	—
Research and Technology	74	40	49	—	—
National Infrastructure Investments	145	—	—[a]	—	—
National Surface Transportation and Innovation Finance Bureau	9	5	5	—	—
Rural and Tribal Infrastructure Advancement	10	—	5	—	—
Financial Management Capital	5	5	5	—	—
Cyber Security Initiatives	60	75	60	—	—
Office of Civil Rights[b]	12	—	—	—	—
Transportation Planning, Research, and Development	32	23	26	—	—
Community Project Funding/Congressionally Directed Spending (non-add)	*10*	—	—	—	—
Working Capital Fund (non-add)	765	71	827	—	—
Small and Disadvantaged Business Utilization and Outreach[b]	5	—	—	—	—
Payments to Air Carriers (Essential Air Service)	514	142	538	—	—
Essential Air Service (Overflight Fees) (non-add)	174	174	174	—	—
DC Safe and Beautiful Fund	—	403	—[c]	—	—
DOT Headquarters Building Consolidation	—	60	58	—	—
Federal Aviation Administration (FAA)	**18,209**	**18,357**	**17,665**	—	—
Operations	13,710	14,192	14,165	—	—

In future editions of this report, **Table 2** will include the Senate Appropriations Committee proposal (column 5) and FY2027 full year enacted funding levels (column 6) when and if they occur.

Administrations and Accounts	FY2026 Enacted	FY2027 Request	FY2027 House Comm.	FY2027 Senate	FY2027 Enacted
Facilities & Equipment	4,000	4,000	3,000[d]	—	—
Research, Engineering, and Development (Airport and Airways Trust Fund)	290	165	230	—	—
Airport Discretionary Grants	209[e]	—	270	—	—
Community Project Funding/Congressionally Directed Spending (non-add)	*542*	—	*240*	—	—
Federal Highway Administration (FHWA)	**927**	**1,484**	—[f]	—	—
Highway Infrastructure Program	927	1,484	—	—	—
Community Project Funding/Congressionally Directed Spending (non-add)	*1,515*[g]	—	*729*	—	—
National Highway Traffic Safety Administration (NHTSA)	**71**	**212**	**152**	—	—
Operations and Research	71[h]	212	152[i]	—	—
Federal Railroad Administration (FRA)	**2,764**	**2,797**	**297**	—	—
Safety and Operations	265	271	271	—	—
Railroad Research and Development	40	26	26	—	—
Federal-State Partnership for Intercity Passenger Rail	25[j]	—	—	—	—
Consolidated Rail Infrastructure and Safety Improvements	7	300	—[k]	—	—
Community Project Funding/Congressionally Directed Spending (non-add)	*87*[l]	—	*23*	—	—
Amtrak Grants	2,427	2,100	—[m]	—	—
Northeast Corridor	*850*	*650*	—	—	—
National Network	*1,577*	*1,450*	—	—	—
Railroad Crossing Elimination Program	—	100	—[n]	—	—
Federal Transit Administration (FTA)	**1,881**	**1,365**	**158**	—	—
Transit Infrastructure Grants	23[o]	—	—[p]	—	—

Administrations and Accounts	FY2026 Enacted	FY2027 Request	FY2027 House Comm.	FY2027 Senate	FY2027 Enacted
Community Project Funding/Congressionally Directed Spending (non-add)	*148*	—	*87*	—	—
Technical Assistance and Training	8	—	8	—	—
Capital Investment Grants	1,700	1,215	—[q]	—	—
Grants to Washington Metropolitan Area Transit Authority	150	150	150	—	—
Great Lakes Saint Lawrence Seaway Development Corporation (GLS)	38	50	42	—	—
Operations and Maintenance	38	50	42	—	—
Maritime Administration (MARAD)	**1,045**	**1,159**	**945**	—	—
Maritime Security Program	390	401	372	—	—
Cable Security Fleet[r]	*10*	—	10	—	—
Tanker Security Program[r]	*82*	*168*	81	—	—
Operations and Training[r]	*276*	*338*[s]	387	—	—
State Maritime Academy Operations	139	87	84	—	—
Assistance to Small Shipyards	35	105	—[t]	—	—
Ship Disposal	6	6	6	—	—
Maritime Guaranteed Loan Program	4	5	5	—	—
Port Infrastructure Development Program	103	50	—[u]	—	—
Community Project Funding/Congressionally Directed Spending (non-add)	*65*	—	*38*	—	—
Pipeline and Hazardous Materials Safety Administration (PHMSA)	**310**	**323**	**315**	—	—
Operational Expenses	29	30	29	—	—
Hazardous Material Safety	66	75	68	—	—
Pipeline Safety	215	218	218	—	—
Oil Spill Liability Fund	*30*	*30*	*30*	—	—

Administrations and Accounts	FY2026 Enacted	FY2027 Request	FY2027 House Comm.	FY2027 Senate	FY2027 Enacted
Pipeline Safety Fund	*177*	*181*	*181*	—	—
Liquefied Natural Gas Siting Account	*	*	*	—	—
Design Review Fund	*	*	*	—	—
Underground Natural Gas Storage Facility Safety Account	*7*	*7*	*7*	—	—
Office of Inspector General	**113**	**105**	**105**	—	—
Salaries and Expenses	113	105	105	—	—
Total Appropriations	**26,411**	**26,827**	**20,642**	—	—
Rescissions	**(1,090)**	—	(29)	—	—
OST (§109D-G)	(13)	—	—	—	—
FRA (§158)	(950)	—	—	—	—
MARAD	(128)	—	(29)	—	—
Maritime Security Program	*(38)*	—	—	—	—
Cable Security Fleet	*(12)*	—	—	—	—
Tanker Security Program	*(43)*	—	*(29)*	—	—
Ship Disposal	—	—	—	—	—
Title XI (§171)	*(34)*	—	—	—	—
User Fees	**(185)**	**(188)**	**(188)**	—	—
PHMSA	(185)	(188)	(188)	—	—
Pipeline Safety Fund	(177)	(181)	(181)	—	—
Underground Natural Gas Storage Facility Safety Account	*(7)*	*(7)*	*(7)*	—	—
Design Review Fund	*	*	*	—	—
Liquefied Natural Gas Siting	*	*	*	—	—
Net Discretionary Budget Authority	**25,136**[v]	**25,081**[s]	**20,425**	—	—
Limitations on Obligations (Mandatory Funding)	**83,290**	**84,950**	**83,285**	—	—
FAA—Airport and Airways Trust Fund	4,000	4,000	4,000	—	—

Administrations and Accounts	FY2026 Enacted	FY2027 Request	FY2027 House Comm.	FY2027 Senate	FY2027 Enacted
FHWA—Highway Trust Fund	62,657	63,973[w]	62,657	—	—
Federal Motor Carrier Safety Administration (FMCSA)—Highway Trust Fund	932	946	927	—	—
NHTSA—Highway Trust Fund	1,059	1,081	1,059	—	—
FTA—Highway Trust Fund	14,642	14,950	14,642	—	—
PHMSA—Emergency Preparedness Fund (non-add)	47	27	47	—	—
Total Budgetary Resources (Mandatory + Discretionary)	**108,426**	**110,031[sw]**	**103,710**	—	—
Additional Appropriations	**36,811[v]**	—	—[x]	—	—
Net new budget authority (incl. additional appropriations from P.L. 118-158 and P.L. 117-58)	**145,236**	**110,031[sw]**	**103,710**	—	—

Source: "FY2026 Enacted" and "FY2027 House Comm." figures are taken from the Comparative Statement of New Budget Authority table, as published in H.Rept. 119-686 and text of H.R. 9170. President's budget figures are taken from FY2027 President's budget documents and estimates shared with CRS by the House Appropriations Committee.

Notes: This table does not include proposed transfers from IIJA accounts and funds proposed to be derived from prior years. An "*" indicates amount rounds to less than $1 million; and "—" indicates amount is not available or not applicable. Agency subaccounts are italicized to differentiate from agency accounts. Accounts and subaccounts designated as "non-add" provide additional information about the agency's budget but do not impact final discretionary totals. Unless otherwise noted, notes below describe FY2027 budget activities.

a. The House Appropriations Committee proposes $550 million for FHWA-National Infrastructure Investments to be available by transfer of unobligated balances from the National Culvert Removal, Replacement and Restoration Grant Program from Division J of the IIJA.

b. The President's budget request and the House Appropriations Committee proposal included funding for the Office of Civil Rights and the Small and Disadvantaged Business Utilization and Outreach under OST-Salaries and Expenses.

c. The House Appropriations Committee proposes $100 million for OST-DC Beautification Fund to be available by transfer of unobligated balances from the Federal-State Partnership for Intercity Passenger Rail from Division J of the IIJA. The House committee recommends that $30 million be transferred to WMATA and $70 million to the Union Station Redevelopment Corporation (USRC).

d. The House Appropriations Committee proposes $1 billion for FAA-Facilities and Equipment to be available by transfer of unobligated balances previously appropriated in the IIJA for the National Electric Vehicle Infrastructure program.

e. In FY2026, $369 million was made available for FAA-Airport Discretionary Grants by transfer from the IIJA's FAA-Airport Discretionary Grants account ($300 million) and the IIJA's FAA-Airport Terminal Program account ($68.7 million).

f. The House Appropriations Committee proposes $1.1 billion for FHWA-Highway Infrastructure Programs to be available from the transfer of unobligated balances previously appropriated in the IIJA for the National Electric Vehicle Infrastructure program ($900 million) and Reconnecting Communities program ($239 million).

g. In FY2026, $1.5 billion was made available for FHWA-Highway Infrastructure Programs by transfer from several IIJA accounts.

h. In FY2026, $129 million was made available for NHTSA-Operations and Research by transfer from the IIJA's NHTSA-Supplemental Highway Traffic Safety Programs account ($79 million) and the IIJA's NHTSA-Crash Data ($50 million).

i. The House Appropriations Committee proposes $202 million for NHTSA-Operations and Research including $50 million to be derived from prior year funds.

j. In FY2026, $40 million was made available for FRA-Federal-State Partnership for Intercity Passenger Rail by transfer from the IIJA's FRA-Federal-State Partnership for Intercity Passenger Rail Grants account.

k. The House Appropriations Committee proposes $523 million for FRA-Consolidated Rail Infrastructure and Safety Improvements to be available by transfer of the unobligated balances from the Fed-State Partnership for Intercity Passenger Rail appropriation from division J of the IIJA.

l. In FY2026, $130 million is made available for FRA-Consolidated Rail Infrastructure and Safety Improvements by transfer from the IIJA's FRA-Consolidated Rail Infrastructure and Safety Improvements ($20 million) and the IIJA's FRA-Federal-State Partnership for Intercity Passenger Rail Grants account ($110 million).

m. The House Appropriations Committee proposes $2.1 billion for FRA-Amtrak Grants to be available by transfer of the unobligated balances from the Fed-State Partnership for Intercity Passenger Rail appropriation from division J of the IIJA. This proposal included $650 million for FRA-Northeast Corridor Grants and $1.45 billion for FRA-National Network Grants to be available by transfer of the unobligated balances from the Fed-State Partnership for Intercity Passenger Rail appropriation from division J of the IIJA.

n. The House Appropriations Committee proposes $100 million for FRA-Railroad Crossing Elimination Program to be available by transfer of unobligated balances from the Fed-State Partnership for Intercity Passenger Rail appropriation from division J of the IIJA.

o. In FY2026, $188 million was made available for FTA-Transit Infrastructure Grants by transfer from several IIJA accounts.

p. The House Appropriations Committee proposes $973 million for FTA-Transit Infrastructure Grants be available by transfer.

q. The House Appropriations Committee proposes $737 million for FTA-Capital Investment Grants be available by transfer of the unobligated balances from the Fed-State Partnership for Intercity Passenger Rail appropriation from division J of the IIJA.

r. The House Appropriations Committee represents MARAD-Tanker Security Program and MARAD-Operations and Training as account-level activities, not subaccount-level as it has typically been represented.

s. The President's budget request included $5 million in transfer authority as part of the total for MARAD-Operations and Training.

t. The House Appropriations Committee proposes $30 million for MARAD-Assistance to Small Shipyards to be available by transfer of the unobligated balances from the Reduction of Truck Emissions at Port Facilities advance appropriation from the IIJA.

u. The House Appropriations Committee proposes $538 million for MARAD-Port Infrastructure Development Program be available by transfer of the unobligated balances from the Federal State Partnership for Intercity Passenger Rail program from division J of the IIJA.

v. P.L. 119-75 included IIJA transfers totaling $2.30 billion. These transfers are not reflected in this total. For more information, see the "IIJA Transfers" section of CRS Report R48728, *Transportation, Housing and Urban Development, and Related Agencies (THUD) Appropriations for FY2026*, by Maggie McCarty and Jennifer J. Marshall.

w. The President's budget included a cancellation of $1.6 billion in funding made available from the Highway Trust Fund in P.L. 117-58, Section 11101 for the Charging and Fueling Infrastructure Program (§11401). For more information on changes in mandatory programs (CHIMPS) see CRS Report R47705, *Congressional Rules Pertaining to Changes in Mandatory Program Spending in Appropriations Bills (CHIMPs)*, by Drew C. Aherne, Megan S. Lynch, and James V. Saturno.

x. The House Appropriations Committee proposes transfers of $7.9 billion in IIJA appropriations to DOT-THUD accounts for FY2027.

Selected FY2027 DOT Appropriations Topics

FRA

The House Appropriations Committee proposes an 83% decrease in new appropriated discretionary budget authority to FRA by not appropriating new budget authority for Amtrak grants. Amtrak grants made up 88% of the FRA's budget authority (excluding rescissions and transfers) in FY2026. Instead of providing new appropriations, the House Appropriations Committee proposes funding Amtrak grants with a transfer of $2.1 billion sourced from unobligated balances of funding appropriated for Amtrak grants in the IIJA.

In a June 2026 supplemental funding request, the President requested $1 billion in supplemental funding for the modernization of New York Pennsylvania Station (Penn Station) in New York City.[10] Since April 2025, Amtrak has led the redevelopment of Penn Station. The FRA published phase one of the "New York Penn Station Service Optimization Study" in June 2026, which identifies opportunities for infrastructure improvements.[11]

MARAD

The House Appropriations Committee states the bill bolstered "defense readiness capabilities by funding the U.S. Merchant Marines, state Maritime Academies, shipyards, and the strategic sealift programs – including the Cable Security Fleet, Maritime Security Program, and Tanker Security Program" in a press release accompanying their FY2027 THUD funding bill.[12] For Operations and Training, the House Committee proposes funding at 40% above FY2026 enacted levels (+$111 million). The President's budget requested an $86 million increase to the Tanker Security Program to increase the tanker fleet from 10 to 20 vessels.[13] The House Appropriations Committee acknowledges the President's budget request for increased funding for the Maritime Security Program and the Tanker Security Program (TSP). The committee report accompanying the FY2027 THUD bill notes, in departing from the proposed funding increase, that the FY2026 THUD committee report directed MARAD to identify vessel capacity demands and other requirements for the expansion of the fleet and directs MARAD to brief the committee within 30 days of enactment.[14]

In H.Rept. 119-686, the House Appropriations Committee suggests that MARAD expand the use of the Port Infrastructure Development Program (PIDP) to address the concern of "existing constraints in domestic shipbuilding, ship repair, and dry dock capacity" which the committee states poses "increasing risks to supply chain resilience, surge sealift readiness, and the

[10] Office of Management and Budget (OMB), Estimate #2 – FY 2026 Supplemental: Departments of Agriculture, Energy, Homeland Security, the Interior, Justice, Labor, State, Transportation, the Treasury, and War, as well as the General Services Administration, Environmental Protection Agency, Other International Programs, and Small Business Administration. (June 24, 2026), June 24, 2026, p. 5, https://www.whitehouse.gov/wp-content/uploads/2026/06/2026.06.17-Letter-to-the-Honorable-Mike-Johnson_FY27-Budget-Amendments.pdf.

[11] Federal Railroad Administration (FRA), *New York Penn Station Service Optimization Study (Phase I Report)*, June 2026, pp. 5-56, https://railroads.dot.gov/sites/fra.dot.gov/files/2026-07/2026.07.13_Penn%20Station%20SOS_Phase%20I%20Report_FINAL.pdf.

[12] U.S. Congress, House Appropriations Committee, *Committee Approves FY27 Transportation, Housing, and Urban Development Appropriations Act*, Press Release, 119th Cong., 2nd sess., June 3, 2026, https://appropriations.house.gov/news/press-releases/committee-approves-fy27-transportation-housing-and-urban-development.

[13] H.Rept. 119-686, p. 73.

[14] Ibid.

operational availability of U.S. flag and government-owned vessels."[15] Shipyard projects that have received federal financing under other MARAD programs are prohibited to receive funding under the PIDP at Title 46, Section 54301(a)(4) of the *U.S. Code*, which may impact MARAD's ability to carry out the committee's directive.

Transfers of IIJA funding

For FY2027, the House Appropriations Committee proposes transfers of $7.9 billion in funding that was appropriated in the IIJA for various programs. This amount makes up nearly 28% of total THUD discretionary budget authority proposed for FY2027 ($28.3 billion). The transferred funding would go to various activities including Community Project Funding grants, public transportation assistance for the Olympic and Paralympic Games ($875 million), Better Utilizing Investments to Leverage Development (BUILD) grants ($550 million), D.C. Safe and Beautiful Fund ($100 million), Consolidated Rail Infrastructure Safety Improvement (CRISI) program grants ($523 million), and MARAD ($537 million).

Selected Administrative Provisions

In Section 153, the House Appropriations Committee proposes language that "permits the Union Station Redevelopment Corporation to be an eligible recipient for the FSP program [Federal-State Partnership for Intercity Passenger Rail, administered by FRA] and reiterates certain statutory responsibilities of the USRC." USRC is the entity created by Congress in 1981 to manage improvements to Union Station in Washington, DC, owned by DOT.[16] Its status as a federally chartered corporation may have rendered it ineligible under the eligibility criteria for grant recipients as codified in 49 U.S.C. §24911(a)(1). Improvements to the station may be identified on the Northeast Corridor Project Inventory that serves as the basis for project selection under the program, and Section 153 would allow USRC to receive and administer funds for such projects.

Title II: Department of Housing and Urban Development

Overview

HUD is the nation's housing agency. The programs and activities it administers are designed primarily to address housing problems faced by households with very low incomes or other special housing needs, and to expand access to homeownership.[17] The largest share of HUD's budget is devoted to its rental assistance programs: Section 8 Housing Choice Vouchers; project-based rental assistance via Section 8, Section 202, and Section 811; and public housing. These programs, which serve over 4.6 million households, provide subsidies to allow low-income recipients to pay below-market, income-based rent.

Two flexible block grant programs—the HOME Investment Partnerships Program (HOME) and the Community Development Block Grant (CDBG) program—help states and local governments finance a variety of housing and community development activities designed to serve low-income

[15] H.Rept. 119-686, p. 77.

[16] P.L. 90-264.

[17] For more information about federal housing assistance programs, see CRS Report RL34591, *Overview of Federal Housing Assistance Programs and Policy*, by Maggie McCarty, Libby Perl, and Katie Jones.

families. The Indian Housing Block Grant and the Indian Community Development Block Grant programs provide funds for Indian tribes to address their own housing and community development needs.

Other more specialized grant programs help communities meet the needs of homeless persons (through the Homeless Assistance Grants, namely the Continuum of Care and Emergency Solutions Grants programs), including those living with HIV/AIDS (through the Housing Opportunities for Persons with AIDS program). Additional programs fund fair housing enforcement activities and lead-based paint hazard identification and remediation, along with other healthy homes initiatives.

HUD's Federal Housing Administration (FHA) insures mortgages made by lenders to homebuyers with low down payments and to developers of multifamily rental buildings containing relatively affordable units. FHA collects fees from borrowers with FHA-insured mortgages, which are used to sustain its insurance funds. The Government National Mortgage Association (GNMA), or Ginnie Mae, is also a part of HUD, and it guarantees securities made up of federally insured or guaranteed mortgages.

Components of HUD Funding

Nearly all of HUD's funding is provided via *discretionary appropriations*, generally contained in the annual THUD appropriations act. (HUD programs may also receive additional resources from *supplemental* or other funding laws in some years, most often in response to disasters.) The annual THUD bill provides *budget authority* via appropriations for HUD programs and activities for a given fiscal year. The cost of that budget authority, as determined by the Congressional Budget Office's (CBO's) scorekeeping process, is generally reduced by *offsetting receipts* from the FHA's loan programs and GNMA's securitization of federally insured or guaranteed mortgages. To a lesser extent, other collections and *rescissions* of prior-year appropriations can also offset the cost of the HUD budget. Deducting the savings from offsets and rescissions from the *gross budget authority* provided to HUD results in *net budget authority*.

Generally, gross budget authority is the most useful measure of the new resources being provided for HUD's programs and activities, whereas net budget authority is the measure used for budget enforcement purposes such as measuring against 302(b) allocations. Any funding designated as an *emergency* requirement provided in the regular annual appropriations acts or in supplemental spending bills is generally exempt for purposes of budget enforcement. HUD's rental assistance programs also receive *advance appropriations*, which is funding provided in a fiscal year but not available until the subsequent fiscal year; the amount available in the fiscal year (which were typically provided in the prior fiscal year) counts for purposes of budget scoring against spending caps.

HUD also generally receives a relatively small amount of *mandatory funding* outside of the annual appropriations process, such as statutorily required contributions from two Government Sponsored Enterprises (Fannie Mae and Freddie Mac) to fund the Housing Trust Fund. These mandatory funds are generally not reflected in this report.

Table 3 provides detailed appropriations information for HUD accounts and selected subaccounts (column 1), showing the FY2026 enacted funding levels (column 2), the FY2027 President's budget request (column 3), the FY2027 funding proposals from the House Appropriations Committee (column 4).[18]

[18] At the time of reporting, the Senate Appropriations Committee has not proposed a FY2027 THUD appropriations bill. In future editions of this report, **Table 2** will include the Senate Appropriations Committee proposal (column 5) and FY2027 full year enacted funding levels (column 6) when and if they occur.

Table 3. HUD, FY2026-FY2027 Detailed Appropriations

(dollars in millions)

Accounts	FY2026 Enacted	FY2027 Request	FY2027 House Comm.	FY2027 Senate	FY2027 Enacted
Appropriations					
Department Management and Administration	1,800	1,819	1,712	—	—
Tenant-Based Rental Assistance (Section 8 Housing Choice Vouchers)[a]	38,439	38,846	38,083	—	—
Voucher Renewals (non-add)	*34,957*	*35,565*	*35,453*	—	—
Administrative Fees (non-add)	*2,836*	*2,951*	*2,300*	—	—
Incremental Veterans Affairs Supportive Housing (VASH) (non-add)	*15*	*0*	*0*	—	—
Incremental Family Unification Program (FUP) (non-add)	*30*	*30*	*30*	—	—
Public Housing Fund	8,319	8,622	7,069	—	—
Operating Formula Grants (non-add)	*4,687*	*5,377*	*4,687*	—	—
Capital Formula Grants (non-add)	*3,200*	*3,200*	*2,286*	—	—
Operational Performance Evaluation and Risk Assessments	50	25	25	—	—
Choice Neighborhoods	25	0	0	—	—
Self Sufficiency Programs	206	0	175	—	—
Native American Programs	1,354	887	1,400	—	—
Native American Block Grants (Formula) (non-add)	*1,111*	*872*	*1,157*	—	—
Native American Block Grants (Comp.) (non-add)	*125*	*0*	*125*	—	—
ICDBG (non-add)	*100*	*5*	*100*	—	—
Tribal HUD VASH (non-add)	*10*	*10*	*10*	—	—
Indian housing loan guarantee	1	0[b]	1	—	—
Native Hawaiian block grant	22	0	15	—	—
Housing for Persons with AIDS (HOPWA)	529	0	529	—	—
Community Development Fund	6,995	0	5,850	—	—
CDBG Formula Grants	*3,300*	*0*	*3,300*	—	—
SUPPORT for Patients and Communities	*30*	*0*	*30*	—	—
Grants to Reduce Barriers to Affordable Housing/PRO Housing	*50*	*0*	*0*	—	—
Economic Development Initiative Grants	*3,615*	*0*	*2,520*	—	—
HOME Investment Partnerships	1,250	0	500	—	—
Self-Help Homeownership	65	16	60	—	—
Self-Help and Assisted Homeownership Opportunity Program (SHOP)	*12*	*0*	*12*	—	—
Section 4 Capacity Building	*46*	*16*[c]	*42*	—	—

Accounts	FY2026 Enacted	FY2027 Request	FY2027 House Comm.	FY2027 Senate	FY2027 Enacted
Rural Capacity Building	*7*	*0*	*6*	—	—
Homeless Assistance Grants (Continuum of Care)	4,417	4,024	4,161	—	—
Project-Based Rental Assistance (§8)[d]	18,543	17,640	18,975	—	—
Contract Renewals	*18,034*	*17,111*	*18,575*	—	—
Contract Administrators	*509*	*529*	*400*	—	—
Housing for the Elderly (§202)	1,031	959	1,062	—	—
Housing for Persons with Disabilities (§811)	287	266	296	—	—
Housing Counseling Assistance	58	0	26	—	—
Manufactured Housing Fees Trust Fund[e]	14	14	14	—	—
Federal Housing Administration (FHA) Expenses[e]	160	160	175	—	—
Government National Mortgage Assn. (GNMA) Expenses[e]	57	56	57	—	—
Research and technology	123	63	95	—	—
Fair housing activities	86	26	49	—	—
Fair Housing Assistance Program (non-add)	*26*	*26*	*26*	—	—
Fair Housing Initiatives Program (non-add)	*56*	*0*	*20*	—	—
Lead Hazard Reduction	296	110	296	—	—
Inspector General	145	138	143	—	—
Flexible Subsidy Loan Modification (§238)	2	0	0	—	—
Gross Appropriations Subtotal (non-emergency)	*84,274*	*73,671*	*80,766*	—	—
Offsetting Collections and Receipts					
Manufactured Housing Fees Trust Fund	-14	-14	-14	—	—
FHA	-5,251	-7,086	-7,086	—	—
GNMA	-1,635	-1,661	-1,661	—	—
Offsets Subtotal	*-6,900*	*-8,761*	*-8,761*	—	—
Rescissions					
Unobligated Balances	-53	0	-631	—	—
Recissions Subtotal	*-53*	*0*	*-631*	—	—
Total Net Discretionary Budget Authority (non-emergency)	***77,320***	***64,910***	***71,374***	—	—

Source: "FY2026 Enacted" and "FY2027 House Comm." figures are taken from the Comparative Statement of New Budget Authority table, as published in H.Rept. 119-686 and text of H.R. 9170. President's budget figures are taken from FY2027 President's budget documents and estimates shared with CRS by the House Appropriations Committee.

Notes: Totals may not add due to rounding. An "—" indicates not applicable or not available.

a. Total includes $4 billion in advanced appropriations provided in the prior FY. The bill provides an additional $4 billion in advance appropriations for the Tenant-Based Rental Assistance account in FY2028 that is not shown.

b. The President's budget justifications stated that no credit subsidy funding is requested for the Indian Housing Loan Guarantee Program because fees charged to borrowers are anticipated to be sufficient to cover the costs of the loans. It does request $400,000 for administrative contract expenses.

c. The President's budget requested a single $16 million grant for Habitat for Humanity to be used for both Section 4 Capacity Building and SHOP activities, of which at least $5 million would be for rural capacity building activities.

d. Total includes $400 million in advanced appropriations provided in the prior fiscal year. The bill provides an additional $400 million in advance appropriations for the Project-Based Rental Assistance account in FY2028 that is not shown.

e. Some or all of the cost of funding these accounts is offset by the collection of fees or other receipts shown later in this table.

Selected FY2027 HUD Appropriations Topics

Voucher Renewal Funding

Among the largest expenses in HUD's budget is the annual cost of maintaining assistance for the nearly 5 million families who are served by rental assistance programs.[19] Combined, funding for HUD's rental assistance programs accounted for about 80% of HUD's gross discretionary appropriations in FY2026, with the largest program, the Housing Choice Voucher (HCV) program, accounting for 46%. Most rental assistance funding is used to maintain assistance for currently assisted families. The cost of maintaining, or renewing, rental assistance—particularly in the Housing Choice Voucher program—typically increases each year, driven largely by rental cost increases outpacing increases in tenants' contributions towards rent, which are generally set at 30% of tenant income.

For FY2027, the President's budget requested a 1.7% funding increase for HCV renewals ($35.6 billion, compared to $35.0 billion in FY2026). HUD's budget justifications indicate that the amount requested would be sufficient to fully fund HCV renewals, assuming certain policy change requested made in the budget are adopted. Specifically, HUD's budget request seeks appropriations language to require that the public housing authorities (PHAs) that administer the program cease the reissuance of vouchers upon turnover, except in certain circumstances, rather than offering them to families on their waiting lists. The budget also requested the authority to implement mandatory time limits and work requirements for program participants (§232 of the general provisions) and indicated that HUD will make administrative policy changes to further reduce costs.[20]

The House committee bill includes less than requested for the Housing Choice Voucher renewals, recommending a 1.4% increase rather than the 1.7% increase proposed by the budget. The committee report notes that, while it would not provide the requested prohibition on voucher releasing, it is supportive of administrative cost saving measures.[21]

[19] Rental assistance programs include the Public Housing, Housing Choice Voucher, Section 8 project-based rental assistance, Section 202 Housing for the Elderly and Section 811 Housing for Persons with Disabilities programs.

[20] HUD, Congressional Justifications, FY2027 p. 2-2, https://www.hud.gov/sites/dfiles/CFO/documents/2027_CJ_Program_TBRA.pdf

[21] H.Rept. 119-686, p. 88.

Proposed Elimination of Grant Programs

The President's FY2027 budget request—like the FY2026 budget request—proposed to eliminate funding for several HUD grant programs, all of which were ultimately funded in the FY2026 final appropriations law.

The largest grant program proposed for elimination, which was funded at $3.3 billion in FY2026, is the Community Development Block Grant (CDBG) program. Funded in the Community Development Fund (CDF) account, the program provides formula grant funding to states and localities to fund various community development activities. Eligible activities include planning, public works and facilities, housing, public services, and economic development.

Two related categorical grant programs—also funded in the CDF—were also proposed for no new funding in the FY2027 President's budget: the Recovery Housing Program established in the Substance Use-Disorder Prevention that Promotes Opioid Recovery and Treatment (SUPPORT) Act, which funds opioid recovery housing, and the Pathways to Removing Obstacles to Housing (CDBG-PRO Housing) competition, which provides grants for removing barriers to affordable housing development. The FY2026 appropriations law included $30 million for SUPPORT and $50 million for PRO-Housing.

The President's budget cited as justification for the CDBG and related program eliminations that "State and local governments are better positioned to serve their communities' needs than the Federal Government."[22]

The House committee bill would fund CDBG and SUPPORT at their FY2026 levels but would not fund PRO-Housing.

The HOME Investment Partnerships block grant program, which provides formula grant funding to states and localities to fund various affordable housing activities, was also proposed for elimination by the President's FY2027 budget. Funded at $1.25 billion in FY2026, eligible activities include new construction, rehabilitation, and acquisition of both rental and homeownership housing, as well as tenant-based rental assistance. The President's budget justifications for the HOME Investment Partnership's block grant contend as justification for the program elimination that

> Numerous factors and regulatory barriers stifle housing development; many of these issues cannot be solved, and may be worsened, by Federal involvement. State and local governments are better positioned to comprehensively address the array of unique market challenges, local policies, and impediments that lead to housing affordability problems.[23]

The House committee bill would fund HOME at $500 million, a 60% cut in funding relative to FY2026.

Native American and Native Hawaiian Housing Programs

The President's FY2027 budget request proposed funding reductions for several Native American housing programs.

Programs that provide funding to federally recognized tribes for affordable housing activities are funded in the Native American Programs account. These include Indian Housing Block Grant

[22] HUD, Congressional Justifications, FY2027 p. 13-1, https://www.hud.gov/sites/dfiles/CFO/documents/2027_CJ_Program_HOME.pdf

[23] HUD, Congressional Justifications, FY2027 p. 15-1, https://www.hud.gov/sites/dfiles/CFO/documents/2027_CJ_Program_HOME.pdf

(IHBG) formula grants, IHBG competitive grants, and the Indian Community Development Block Grant (ICDBG). The President's budget proposed $872 million for IHBG formula grants in FY2027 (compared to $1.1 billion provided in FY2026) and no funding for IHBG competitive grants (compared to $125 million provided in FY2026). It proposed $5 million for ICDBG (compared to $100 million provided in FY2026). The House committee bill would fund these programs at or above their FY2026 levels, proposing $1.2 billion for IHBG formula grants, $125 million for IHBG competitive grants, and $100 million for ICDBG.

Funding for affordable housing activities for Native Hawaiians, who are not a federally recognized tribe, is provided through programs funded in their own accounts: the Native Hawaiian Housing Block Grant (NHHBG), which provides funds to Hawaii's Department of Hawaiian Home Lands for affordable housing activities on the Hawaiian Home Lands, and the Section 184A loan guarantee program, which guarantees home loans for Native Hawaiians on the Hawaiian Home Lands. The President's budget request proposed eliminating funding for both programs. In discussing the proposal to eliminate funding for the NHHBG, the President's budget documents note that "Native Hawaiians are not a tribal nation but a racial group."[24] The House committee bill would continue to fund these programs, though it proposes less funding for the NHHBG in FY2027 ($15 million) than was provided in FY2026 ($22 million).

Select General Provisions

Each year, the THUD appropriations act includes dozens of General Provisions (GPs) for HUD, which generally involve administrative guidance on how funding provided in the act should and should not be used and, in some cases, amendments to laws that govern the department's programs and activities. Many of these GPs are carried over from year to year, but some new GPs are generally proposed each year.

PBRA Rent Increases. For FY2027, the President's budget requested a general provision (§227) allowing the agency to cap rents in its project-based rental assistance programs at FY2026 levels. This would affect the payments made to the nonprofit and for-profit private property owners who have contracts with HUD under the Section 8 project-based rental assistance, Section 202 Housing for the Elderly, and Section 811 Housing for Persons with Disabilities programs. The House committee bill does not include the proposed rent freeze, but does include a provision allowing the agency, via notice published in the *Federal Register*, to adopt a cap on rent increases in these programs at no more than 3% (§240).

Time Limits and Work Requirements. Currently, HUD's rental assistance programs do not have broad-based time limits and work requirements for tenants.[25] In 2025, HUD published a proposed rule to allow PHAs and owners of properties with HUD rental assistance to adopt voluntary time limit and work requirement policies.[26] Section 232 of the general provisions in the FY2027 budget request seeks to amend current law to give the HUD Secretary explicit statutory authority to implement time limit and work requirement policies via regulation. The House committee bill does not include this provision.

[24] Office of Management and Budget, *Budget of the U.S. Government Fiscal Year 2027*, p. 31, https://www.whitehouse.gov/wp-content/uploads/2026/04/budget_fy2027.pdf.

[25] There are some exceptions. There is an 8-hour per month community service or economic self-sufficiency requirement applicable to certain public housing residents and some PHAs participating in the Moving to Work waiver demonstration program have adopted time-limit and/or work requirement policies.

[26] HUD, "Establishing Flexibility for Implementation of Work Requirements and Term Limits," 91 *Federal Register* 10016 et. seq., March 3, 2026.

Recovery Agreements for PHAs. While HUD has statutory authority to take corrective actions for PHAs with poor performance in the public housing program,[27] no similarly clear statutory authority exists for the HCV program. The FY2027 budget included a request for a general provision (§233) that would allow the Secretary to take remedial action against PHAs that have assessment scores—including HCV assessment scores—below a certain threshold, have required HCV shortfall funding, or have other ongoing compliance deficiencies that materially impede effective program performance. The House committee bill includes the requested language (§244).

Limits on New Public Housing. Since the late 1990s, PHAs have been subject to what is referred to as the *Faircloth limit*, a statutory cap on the number of public housing units for which they may receive federal funding. This limit is set at the number of units the PHA had under contract on October 1, 1999.[28] Section 236 of the general provisions of the FY2027 budget request would reset that date to October 1, 2027. Paired with some statutory changes proposed in Section 234 related to restricting new public housing development, these two provisions would eliminate the authority HUD used during the Biden Administration to allow PHAs to develop new housing units using the Rental Assistance Demonstration (RAD) via an administrative initiative known as Faircloth-to-RAD, later Restore-Rebuild. In a May 2026 memo to PHAs, HUD announced it was ending Restore-Rebuild.[29] The House committee bill does not include the requested statutory provisions.

Title III: Related Agencies

The annual THUD appropriations bill generally provides funding for seven independent agencies that undertake activities related to transportation and/or housing:

- The U.S. Access Board is an independent federal agency designed to coordinate other federal agencies to promote accessible design and the development of accessibility guidelines and standards to ensure access to federally funded public infrastructure for persons with disabilities.[30]
- The Federal Maritime Commission is an independent federal agency charged with regulating U.S. ocean commerce.[31]
- The Amtrak Inspector General is an independent organization charged with providing oversight of Amtrak's programs and operations.[32]
- The National Transportation Safety Board (NTSB) investigates accidents, crashes, and other events in transportation.[33]
- The Neighborhood Reinvestment Corporation (NeighborWorks America) is a congressionally chartered nonprofit that supports a network of community

[27] 42 U.S.C. §1437d(j).

[28] 42 U.S.C. §1437g(g)(3).

[29] HUD, Memorandum to All Public Housing Authorities, From Benjamin Hobbs, Assistant Secretary, Office of Public and Indian Housing and Joseph M. Gormley, performing the delegable duties of the Assistant Secretary for Housing, Federal Housing Commissioner, "Updates to the Restore-Rebuild Initiative," dated May 12, 2026.

[30] See https://www.access-board.gov/about/.

[31] See https://www.fmc.gov/about-the-fmc/.

[32] See https://amtrakoig.gov/about-us.

[33] See https://www.ntsb.gov/about/Pages/default.aspx.

organizations that provide affordable housing, financial counseling, and resident engagement.[34]

- The Surface Transportation Board is an independent federal agency is "charged with the economic regulation of various modes of surface transportation, primarily freight rail."[35]
- The Interagency Council on Homelessness is an independent federal agency charged with coordinating the federal response to homelessness.[36]

Table 4. Related Agencies, FY2026-FY2027 Detailed Appropriations

(dollars in millions)

Related Agency	FY2026 Enacted	FY2027 Request	FY2027 House Comm.	FY2027 Senate	FY2027 Enacted
Access Board	10	10	10	—	—
Federal Maritime Commission	40	40	40	—	—
National Railroad Passenger Corporation (Amtrak) Office of Inspector General	29	31	31	—	—
National Transportation Safety Board	145	187	175	—	—
Neighborhood Reinvestment Corporation (NeighborWorks)	158	15	129	—	—
Surface Transportation Board	41	41	41	—	—
Offsetting Collections	-1	-1	-1	—	—
U.S. Interagency Council on Homelessness	3	*	*	—	—
Total	**425**	**323**	**425**	**—**	**—**

Source: "FY2026 Enacted" and "FY2027 House Comm." figures are taken from the Comparative Statement of New Budget Authority table, as published in H.Rept. 119-686 and text of H.R. 9170. President's budget figures are taken from FY2027 President's budget documents and estimates shared with CRS by the House Appropriations Committee.

Notes: Totals may not add due to rounding. An "—" indicates not applicable or not available; an asterisk indicates that amount rounds to less than $1 million.

Selected FY2027 Related Agencies Appropriations Topics

U.S. Interagency Council on Homelessness (USICH)

The USICH, authorized as part of the McKinney-Vento Homeless Assistance Act (P.L. 100-77, as amended), is made up of representatives from multiple federal agencies who, together with the USICH executive director and staff, are to coordinate efforts to address homelessness nationally. The USICH is also responsible for releasing a National Strategic Plan to End Homelessness and

[34] See https://www.neighborworks.org/About-Us.

[35] See https://www.stb.gov/about-stb/.

[36] See https://www.usich.gov/about-usich/.

for supporting state and local governments and nonprofit organizations in their efforts to aid people experiencing homelessness, among other activities.

Both the FY2027 President's budget and the House committee-reported bill propose to eliminate funding for the USICH, providing $200,000 to pay the costs to wind down the agency. The President's budget request and the House committee-reported bill also proposed to eliminate USICH funding in FY2026; the final FY2026 appropriations law included $3 million for the USICH.

Author Information

Maggie McCarty
Specialist in Housing Policy

Jennifer J. Marshall
Analyst in Transportation Policy

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